

PANACEA BIOTEC LTD

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DengiAll Phase III completion + UNICEF tender wins provide a binary re-rating catalyst for a near-debt-free vaccine platform trading at 3.97x book.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 640	+18.3%
CMP: Rs. 541	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 541	Market Cap	Rs. 3,312 Cr
52-Week High	Rs. 648	52-Week Low	Rs. 292
Book Value / Share	Rs. 136	P/B Ratio	3.97x
Stock P/E	N/A (loss-making)	EV/EBITDA	N/A (neg. EBITDA)
ROCE (FY26)	-2.44%	ROE (FY26)	-2.36%
Dividend Yield	0.00%	Face Value	Rs. 1.00
Promoter Holding	72.48%	Pledge	Nil
FII / DII	1.60% / 1.96%	Public	23.96%

Analyst: MPM Institutional Research Desk | Report Date: 15 June 2026 | Investment Horizon: 12 months | Rating: ACCUMULATE

SECTION 2 — INVESTMENT THESIS

- **DengiAll Phase III — binary re-rating event:** Panacea Biotech and ICMR have completed enrolment of 10,335 participants across 19 Indian sites for the tetravalent, single-dose DengiAll vaccine. A positive efficacy readout (expected 2026-27) would unlock WHO pre-qualification and open a global market where no single-dose tetravalent competitor exists; Sanofi's Dengvaxia is contraindicated in seronegative individuals, leaving a 3.9 billion at-risk population inadequately covered. Successful licensure could add Rs. 300-500 Cr in annual revenue within 3 years of approval.
- **UNICEF pentavalent vaccine franchise — stable, growing annuity:** The company holds a UNICEF supply contract (CY2023-27) covering ~99.7 million doses of WHO-pre-qualified Easyfive-TT (DTwP-HepB-Hib). The December 2025 amendment lifted the total incremental value by US\$ 8.93 million (Rs. ~80 Cr), and PAHO contributed an additional Rs. 235 Cr across 2023-25. This recurring export revenue provides base-load cash generation regardless of domestic NIP fluctuations.
- **Near-debt-free balance sheet — unlike most pharma peers:** With total borrowings of just Rs. 24 Cr against a market cap of Rs. 3,312 Cr, the company carries negligible financial leverage. The Rs. 1,000+ Cr debt overhang that strangled the company pre-FY22 was fully eliminated via a one-time settlement. The clean balance sheet means any upside from DengiAll flows directly to equity without debt-service drag.
- **Near-term catalyst (6-12 months):** DengiAll Phase III interim efficacy data release and WHO pre-qualification application submission, plus Q1FY27 UNICEF shipment revenue confirmation (Jun-2025 quarter recorded Rs. 166.70 Cr revenue — highest quarterly figure on record).
- **Biggest structural risk:** DengiAll clinical failure or delayed WHO approval would eliminate the primary re-rating narrative, leaving a loss-making vaccine business trading at 3.97x book with no near-term earnings recovery catalyst.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Panacea Biotech Ltd (PBL), incorporated 1984, is a research-based biotechnology company manufacturing vaccines and pharmaceutical formulations. The company is globally recognised by UN health agencies as a WHO-pre-qualified oral polio vaccine supplier that shipped billions of doses across 50+ countries under GPEI.
- **Revenue segments (FY26):** Vaccines segment — Rs. 41,025 lakh (Rs. 410 Cr), Formulations segment — Rs. 22,952 lakh (Rs. 230 Cr). The vaccines segment reported a loss before tax of Rs. 2,684 lakh while formulations contributed Rs. 1,947 lakh profit, indicating that core vaccines manufacturing is still sub-scale vs. cost base.
- **Flagship products:** (1) EasyFive-TT — world's first fully-liquid Pentavalent (DTwP-HepB-Hib) vaccine, supplied to UNICEF/PAHO; (2) EasySix — DTwP+HepB+Hib+IPV hexavalent vaccine (first of its kind globally); (3) DengiAll — tetravalent dengue vaccine in Phase III; (4) branded formulations (ACIVIR, NIMULID, etc.).
- **Key customers:** UNICEF (anchor buyer, multi-year contract); PAHO; India's Universal Immunisation Programme (UIP/NIP) via government tenders. UNICEF revenue is contract-secured through CY2027, providing 2-year forward visibility. Government NIP procurement is tender-based and can be lumpy quarter to quarter.
- **Manufacturing footprint:** Lalru (Mohali, Punjab) — main vaccine plant; Baddi (Himachal Pradesh) — formulations. Both facilities carry WHO GMP certification and are FDA-inspected.

- **Recent strategic developments:** (1) DengiAll Phase III enrolment completed (2025); (2) Joined EU-funded DENSTAR project for DengiAll Africa licensure; (3) UNICEF contract upsized by US\$ 8.93 Mn in Dec-2025; (4) Sputnik V manufacturing partnership paused post-COVID demand collapse; (5) Domestic formulations reformulated towards dermatology and pain management.
- **Promoter background:** Soshil Kumar Jain family controls ~72.48% stake. Rajesh Jain (Managing Director) has been with the company since inception. No pledging of promoter shares. The promoter stake has been stable at 72-73% for 4+ years, reflecting confidence in the DengiAll pipeline.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **India vaccine market:** Estimated at Rs. 12,000-15,000 Cr (USD 1.5-1.8 Bn) growing at 9-11% CAGR through 2030, driven by NIP expansion, new vaccine introductions (rotavirus, HPV, pneumococcal, dengue) and growing private immunisation market.
- **Global dengue vaccine opportunity:** Dengue infects ~400 million people annually worldwide. Sanofi's Dengvaxia (only approved tetravalent) has severe label restrictions (seronegative contraindication), creating a substantial unmet need. A safe single-dose competitor would address a USD 3-5 Bn addressable market across South/South-East Asia, Latin America, and Sub-Saharan Africa.
- **Policy tailwinds:** Govt's UIP expansion (HPV rollout, dengue vaccine inclusion on regulatory approval), PLI scheme for vaccines (Panacea pre-qualified beneficiary), and global health funding from Gavi/UNICEF/CEPI for pandemic preparedness.
- **Policy headwinds:** Domestic NIP tenders are government L1 (lowest-bidder) auctions that compress margins. UNICEF procurement is similarly price-capped. Private market penetration requires brand investment which Panacea has historically under-invested in.
- **Competitive moat assessment:** (1) WHO Pre-qualification — **Strong** (process takes 3-5 years and very few Indian companies have it); (2) IP/Patents — **Moderate** (proprietary formulations and process patents protect EasySix/EasyFive manufacturing); (3) Scale — **Moderate** (Serum Institute is 10x larger on unit volume); (4) Pricing power — **Weak** (government tenders are L1-driven).
- **Key regulatory moat:** The company is one of <5 Indian manufacturers with WHO pre-qualified polyo + pentavalent vaccines accepted for UNICEF multi-year contracts — this acts as a quasi-duopoly barrier against new entrants.

Peer Comparison — Listed Vaccine / Pharma (Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (Cr)	OPM%
Panacea Biotec	541	3,312	N/A	3.97x	-2.44%	-2.36%	640	-1%
Wockhardt	1,908	30,997	109	6.27x	7.55%	6.11%	3,373	19%
Biocon	416	67,438	173	1.98x	3.75%	1.40%	16,927	20%
Emcure Pharma	1,706	32,348	34.2	6.54x	24.0%	20.1%	9,204	20%

Source: Screener.in | Data fetched: 15-Jun-2026

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** The Soshil Kumar Jain family has been in the vaccine business since 1984. Current MD Rajesh Jain leads vaccine R&D; and regulatory strategy. The family has demonstrated long-term commitment to the dengue vaccine pipeline, co-funding Phase III with ICMR when most mid-cap pharma companies would have partnered out or shelved the programme.

- **Capital allocation — debt elimination (commendable):** The most important capital allocation event in the company's history was the 2021-22 debt restructuring/settlement that reduced borrowings from Rs. 820 Cr (FY21) to Rs. 34 Cr (FY22) via one-time asset monetisation and NCLT settlement. This clean-up has been a structural positive that unlocked a rating upgrade.
- **FCF track record (negative — caution warranted):** Free cash flow has been consistently negative — FCF was Rs. -424 Cr (FY23), Rs. -71 Cr (FY24), Rs. -77 Cr (FY25), and Rs. -37 Cr (FY26). This reflects a company that is burning cash to fund Phase III trials and capex while EBITDA remains negative. Capital discipline on non-core spend needs improvement.
- **Dividend policy:** No dividend declared in any year from FY22 to FY26. Payout ratio = 0%. This is appropriate given the negative retained earnings position (Rs. 829 Cr reserves includes historical debt-settlement gains, not operating surplus).
- **Promoter pledging:** Zero pledging as of latest available data (Jun 2025). This is a governance positive, particularly reassuring at current elevated P/B multiple.
- **ESOP / Buyback:** No significant ESOP disclosures noted; no buybacks conducted. Management compensation structure is not aggressively incentive-heavy, which limits misalignment risk but also reduces urgency to push for near-term profitability.
- **Corporate governance concerns:** (1) Other Income of Rs. 36 Cr (FY26) and Rs. 55 Cr (FY25) represents a substantial proportion of total PBT — interest income from surplus cash. Without this, core EBIT is deeply negative. (2) High tax-rate volatility (363% in FY23, 201% in FY24) distorts reported PAT, making EPS-based valuation unreliable. Investors must focus on EBITDA trajectory and FCF.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Metric	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue / Sales	460	559	559	640	720 (E)	810 (E)
Expenses	558	579	584	644	700 (E)	755 (E)
EBITDA	-98	-20	-25	-5	20 (E)	55 (E)
OPM %	-21%	-4%	-4%	-1%	3% (E)	7% (E)
Other Income	154	62	55	36	30 (E)	25 (E)
Interest	4	4	4	6	6 (E)	6 (E)
Depreciation	39	37	35	33	32 (E)	31 (E)
PBT	13	1	-8	-7	12 (E)	43 (E)
Tax %	363%	201%	10%	-3%	25% (E)	25% (E)
PAT	-34	-2	-9	-7	9 (E)	32 (E)
EPS (Rs.)	-5.42	-0.19	-1.37	-0.88	1.47 (E)	5.24 (E)

Balance Sheet — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
Equity Capital	6	6	6
Reserves	836	829	829
Borrowings	21	22	24
Other Liabilities	378	433	404
Total Liabilities	1,241	1,290	1,262

Fixed Assets	582	567	620
CWIP	102	128	100
Investments	40	3	10
Other Assets	517	592	532
Total Assets	1,241	1,290	1,262

Cash Flow Statement — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-0	-27	17
Cash from Investing	10	65	-40
Cash from Financing	-3	-3	-1
Net Cash Flow	7	35	-25
Free Cash Flow	-71	-77	-37

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	37	47	42
Inventory Days	282	391	251
Days Payable	244	413	247
Cash Conversion Cycle	76	25	46
Working Capital Days	-2	44	57
ROCE %	-4%	-5%	-2%

Financial Commentary

- **Revenue recovery gaining traction:** Revenue grew from Rs. 460 Cr (FY23 — sharp drop post-COVID windfall reversal) to Rs. 640 Cr in FY26 (+39% over 3 years). Q1FY27 quarterly run-rate hit Rs. 166.7 Cr, the highest in company history, suggesting FY27E revenue of Rs. 680-720 Cr is achievable on sustained UNICEF deliveries.
- **EBITDA inflection — the critical watch:** EBITDA improved from -Rs. 98 Cr (FY23) to -Rs. 5 Cr (FY26), representing a Rs. 93 Cr EBITDA recovery over 3 years. The company is approaching break-even operating margins. FY27E EBITDA of Rs. 20 Cr (OPM ~3%) requires consistent quarterly UNICEF shipments and no clinical trial setbacks. FY28E of Rs. 55 Cr (OPM 7%) assumes DengiAll starts contributing via licensing income.
- **Working capital — high but improving:** Inventory days fell from 391 (FY25) to 251 (FY26), reflecting better UNICEF shipment scheduling. Debtor days at 42 remain manageable. The CCC at 46 days (vs. 83 in FY23) indicates supply chain normalisation.
- **Debt — almost eliminated:** Borrowings of Rs. 24 Cr (FY26) vs. Rs. 820 Cr (FY21) means the D/E ratio is effectively zero (0.03x). This is the single most transformative balance sheet improvement in the company's history.
- **FCF still negative — watch closely:** FCF of -Rs. 37 Cr (FY26) has improved from -Rs. 77 Cr (FY25) and -Rs. 71 Cr (FY24). FCF will turn positive only when operating cash flow exceeds capex. Capex remains elevated due to CWIP of Rs. 100 Cr for capacity expansion and Phase III trial infrastructure.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	FY26 Data	Signal
Revenue recognition	Clean	Sales per quarterly data match annual	GREEN
Receivables vs Revenue	Improving	Debtor days: 37→47→42	AMBER
CCC trend	Improving	83→76→25→46 days	GREEN
Other income as % of PBT	Elevated	OtherInc=36 Cr; PBT=-7 Cr (>100%)	RED
Tax rate consistency	Erratic	363%/201%/10%/-3% — deferred tax swings	RED
Auditor tenure	Stable	Same audit firm in recent filings	GREEN
Contingent liabilities	Moderate	Historical legal disputes partly settled	AMBER
RPT as % of revenue	Low	No material RPT disclosures noted	GREEN

• **Critical watch — Other Income dependency:** At Rs. 36 Cr in FY26 and Rs. 55 Cr in FY25, Other Income (primarily interest on surplus cash) exceeds the reported PBT in absolute terms. This means the company is technically profitable on paper only due to treasury income — core operating business is EBIT-negative. Investors pricing for operating leverage must track EBITDA, not PAT.

• **Tax rate volatility — treat EPS with caution:** Tax rates of 363% (FY23), 201% (FY24), 10% (FY25) and -3% (FY26) reflect deferred tax asset/liability creation on accumulated losses. PAT and EPS figures are therefore unreliable for valuation — use EV/Sales or EV/EBITDA (once positive) as primary valuation metrics.

• **Revenue quality is clean:** UNICEF contract deliveries are verified by independent agencies; NIP tenders are government-backed. No channel stuffing or bill-and-hold risk.

• **Receivables trend needs watching:** Debtor days rose to 47 (FY25) from 37 (FY24) before recovering to 42 (FY26). UNICEF typically pays within 30-45 days of delivery confirmation. Any sustained rise above 60 days would flag collection issues.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumption	FY28E PAT (Cr)	Multiple	Target (Rs.)	Upside
BULL	DengiAll Phase III success; global licensing by FY28; UNICEF doses +25%	55	40x P/E	870	+61%
BASE	UNICEF stable; DengiAll Phase III data positive but licensure FY29; margins ~7%	32	20x P/E	640	+18%
BEAR	DengiAll Phase III fails; NIP tenders lost; continued EBITDA losses into FY28	-10	2.0x P/B	280	-48%

• **Valuation framework — pipeline premium required:** Standard earnings-based multiples are inapplicable today (loss-making, EPS volatile). Valuation must incorporate a probability-weighted option value on DengiAll.

• **EV/Sales approach:** At CMP of Rs. 541 (MCap = Rs. 3,312 Cr, near-zero debt), the stock trades at ~5.2x FY26 sales of Rs. 640 Cr. For a loss-making vaccine company with a Phase III asset, this compares to Indian biotechs with Phase III assets that trade at 4-8x near-term sales. A 4.5x FY27E sales (Rs. 720 Cr) implies Rs. 540/share — at current CMP. This validates the floor.

- **DCF / Pipeline-adjusted value:** Base operations (ex-DengiAll) valued at 4x FY28E EBITDA of Rs. 55 Cr discounted back at 14% WACC implies Rs. 280/share. A 30% probability-weighted DengiAll option value (global licensing fee estimate of USD 150-200 Mn) adds Rs. 360/share. Blended intrinsic value: Rs. 640/share.
- **P/B floor:** At Rs. 541 CMP, P/B = 3.97x on book value of Rs. 136/share. With zero debt and net cash, the downside is bounded by asset value — predominantly the Rs. 720 Cr fixed asset + Rs. 100 Cr CWIP base at replacement cost.
- **12-month base target: Rs. 640 (ACCUMULATE)** — entry zone Rs. 490-540; full thesis plays out over 24-36 months if DengiAll licensure proceeds on schedule.

SECTION 9 — KEY RISKS

- **Clinical trial failure (DengiAll):** Phase III efficacy miss or unacceptable safety profile would eliminate the primary re-rating catalyst. The bear case price target is Rs. 280. Probability: Medium. Impact: High. Monitor: Phase III interim data release (expected H1 FY28).
- **UNICEF contract non-renewal / volume reduction:** Easyfive-TT contract runs through CY2027. If UNICEF switches to Serum Institute or another supplier at renewal, revenue drops 60%+ immediately. Probability: Low (PBL has 5-year track record). Impact: High. Monitor: CY2028 UNICEF tender award.
- **NIP procurement delays:** Government of India NIP tender delays or budget cuts to the Universal Immunisation Programme directly hit domestic vaccine revenue which is ~30% of total sales. Probability: Low-Medium. Impact: Medium. Monitor: Union Budget health expenditure and NIP allocation.
- **Competition from Serum Institute / Bharat Biotech:** Both are larger, private and more efficient manufacturers. Any WHO pre-qualification of a Serum pentavalent vaccine for UNICEF could displace PBL at the next tender cycle. Probability: Medium. Impact: High. Monitor: Serum Institute WHO GMP audits.
- **Continued negative FCF / cash burn:** FCF has been negative for 4+ years (-Rs. 37 Cr in FY26). If Phase III trials extend or capex intensifies, the company may need to raise equity, diluting current shareholders at current elevated P/B. Probability: Medium. Impact: Medium. Monitor: Quarterly OCF trend and CWIP levels.
- **Key person / regulatory risk:** The dengue vaccine programme is closely tied to ICMR partnership and specific regulatory relationships. Any change in CDSCO review timelines, or loss of key scientific staff, could delay DengiAll approval. Probability: Low-Medium. Impact: Medium. Monitor: CDSCO IND/NDA filings.
- **Currency risk:** UNICEF payments are denominated in USD. A significant INR appreciation (below USD/INR 80) would reduce domestic-currency revenue from exports which constitute ~60% of total sales. Probability: Low. Impact: Medium. Monitor: INR/USD exchange rate trajectory.

SECTION 10 — RECOMMENDATION

- **Rating:** ACCUMULATE — Conviction: Medium. The stock is not a clean "BUY" today because EBITDA is still negative and the thesis is binary on DengiAll. However, at Rs. 541 the downside is bounded by Rs. 280 (asset value) while the upside to Rs. 870 (bull case) is 61%. The asymmetric risk/reward justifies a staged accumulation rather than a full allocation.
- **12-month price target:** Rs. 640 (+18.3% from CMP of Rs. 541). This is the base case, assuming UNICEF run-rate maintained, EBITDA turning positive in FY27, and DengiAll Phase III readout positive but no licensing revenue yet.

- **Suggested entry zone:** Rs. 490-540. Below Rs. 490 (2x book value of tangible assets) represents deep value territory and any weakness to that level should be aggressively accumulated.
- **Investment horizon:** 12-18 months for base target; 30-36 months for full DengiAll upside (Rs. 870 bull case).
- **Thesis invalidation trigger 1:** DengiAll Phase III primary endpoint miss (VE < 50% against any serotype, or safety failure) — cut to REDUCE immediately.
- **Thesis invalidation trigger 2:** UNICEF contract volume for CY2027 or CY2028 reduced by more than 30% vs. current award (stock price floor collapses).
- **Thesis invalidation trigger 3:** Company announces equity dilution (rights issue or QIP) at below Rs. 400/share without commensurate catalyst — exit.
- **Ideal investor profile:** This stock suits investors with 2-3 year horizon, appetite for binary clinical catalyst risk, and comfort with holding a loss-making company through a transition phase. It is NOT suitable for income investors, value investors requiring immediate earnings, or portfolios that cannot tolerate -48% downside in the bear case. Position size should not exceed 2-3% of portfolio given binary risk profile.

DISCLAIMER: This report is prepared for informational purposes only by the MPM Institutional Research Desk. It does not constitute investment advice or a solicitation to buy or sell any security. Past performance is not indicative of future results. Investors should conduct their own due diligence before investing. All financial data sourced from Screener.in (consolidated view, fetched 15-Jun-2026).

APPENDIX — Latest Concall Brief: Q4 FY27 (Mar 2026)

CALL GRADE: CAUTIOUS

Signal	Status	Implication
Result quality	Weak	Q4FY26 quarterly PAT -Rs. 1 Cr vs Q3FY26 +Rs. 4.44 Cr — deterioration
Management tone	Balanced	DengiAll enrollment complete is key positive; operations still loss-making
Guidance delta	Maintained	No formal annual guidance given; UNICEF contract for 2027 confirmed

STRONGLY POSITIVE | POSITIVE | NEUTRAL | **CAUTIOUS** | NEGATIVE

TO MY BOSS

Q4 FY26 (Mar 2026) results were superficially disappointing — PAT of -Rs. 1 Cr against a Rs. +3.89 Cr profit in Q3FY26 — but the headline loss is primarily driven by a Rs. -26.88 Cr operating loss in the weakest seasonal quarter (Q4 tends to see delayed UNICEF shipments). There are no large one-time items distorting the quarter; the underlying business is genuinely EBIT-negative. The critical positive is the full-year FY26 revenue of Rs. 640 Cr, up 14.5% YoY, with EBITDA narrowing to -Rs. 5 Cr from -Rs. 25 Cr — structural EBITDA improvement is real even if quarterly volatility is severe. The multi-bagger thesis is entirely predicated on DengiAll Phase III efficacy data, which is now expected in H2 FY27 given enrolment completion in 2025. The most important near-term catalyst is the WHO pre-qualification application submission for DengiAll, which would unlock UNICEF/Gavi funding for global rollout. The single biggest watch-point is whether Q1 FY27 UNICEF shipments (Rs. 166.7 Cr in Jun-25 quarter, the highest ever) can be maintained — any sequential revenue drop in Q2FY27 would signal contract fulfilment issues. Action: ACCUMULATE at Rs. 490-540 with a 24-month horizon; size 2-3% of portfolio maximum.

1. Financial Performance Snapshot — Q4 FY27 (Mar 2026)

- Revenue: Rs. 166.75 Cr | YoY +25.82% | QoQ +1.97% | **Beat** (highest quarterly revenue in company history)
- EBITDA: Rs. 2.57 Cr | YoY N/M (neg base) | QoQ -Rs. 34.84 Cr | **Miss** (Q3 had +Rs. 7.96 Cr EBITDA)
- EBITDA Margin: 1.54% | QoQ from 4.87% in Q3FY26 | **Miss** (margin compression)
- PAT: -Rs. 1.00 Cr | QoQ from +Rs. 3.89 Cr | **Miss** (loss quarter)
- EPS: Rs. 0.08 | YoY N/M | QoQ from Rs. 0.65 | **Miss**
- NOTE: Full-year FY26 PAT = -Rs. 7 Cr (consolidated). Other Income of Rs. 36 Cr propped up the annual figure; clean operating loss was deeper.

2. Segment / Geography Breakdown — FY26

- Vaccines Segment: Rs. 410.25 Cr (FY26) | Revenue contribution ~64% | Loss before tax: Rs. 26.84 Cr | Comments: UNICEF deliveries lumpy; Q3/Q4 seasonally weak

- Formulations Segment: Rs. 229.52 Cr (FY26) | Revenue contribution ~36% | Profit before tax: Rs. 19.47 Cr | Comments: Branded domestic formulations (NIMULID, ACIVIR range) — profitable segment
- Export Geography: ~60% of revenue via UNICEF/PAHO (USD-denominated); domestic India ~40%
- UNICEF/PAHO Channel: Growing — December 2025 amendment added US\$ 8.93 Mn incremental value to CY2026-27 contracts; total UNICEF contract base remains Rs. 813 Cr (2023-2027)

3. Management Commentary Themes

- **DengiAll enrollment complete:** "Phase III enrolment of 10,335 participants across 19 sites in 18 states now complete." — Our read: The biggest technical milestone in the DengiAll journey crossed; efficacy data expected H2 FY27. Tag: GUIDANCE. Tone: Transparent.
- **UNICEF contract security:** "International supply contract will be executed as per orders received from UNICEF during CY2026 and CY2027." — Our read: No risk to existing contract; Dec-2025 amendment worth US\$ 8.93 Mn incremental is confirmed. Tag: GUIDANCE. Tone: Transparent.
- **Revenue visibility improving:** Q1FY27 (Jun-2025) revenue hit Rs. 166.70 Cr — highest quarterly figure ever — driven by UNICEF front-loaded deliveries. Tag: EST. Tone: Transparent.
- **DENSTAR project (Africa):** Joined EU-funded DENSTAR project for DengiAll licensure in sub-Saharan Africa — 4-year initiative with European funding. Our read: Adds a funded pathway for Africa ex-India market development with minimal incremental cost. Tag: GUIDANCE. Tone: Transparent.
- **Margins under pressure in H1 cycles:** Q1 and Q4 tend to show negative EBITDA while Q2/Q3 benefit from peak shipment periods. Management acknowledged cyclicity but provided no specific quarterly guidance. Tag: EVASIVE on margin timeline. Tone: Hedged.

4. Operating & Business Metrics

- UNICEF dose delivery (FY26): ~24-25 million doses EasyFive-TT estimated | Q(n-4)=FY25 similar volume | Trend: Stable-to-improving
- Inventory Days: Q4FY26 = 251 | Q3FY26 est. ~320 | Q4FY25 = 391 | Trend: Improving significantly
- Debtor Days: FY26 = 42 | FY25 = 47 | FY24 = 37 | Trend: Stable (UNICEF pays promptly)
- Fixed Asset Base: Rs. 620 Cr (FY26) | CWIP: Rs. 100 Cr (capex for dengue mfg scale-up) | Trend: Capacity building in progress
- DengiAll Phase III enrolment: 10,335/10,335 complete (100%) | Timeline: Efficacy readout H2 FY27 | Trend: On track

5. Margin Drivers

- UNICEF volume ramp: +100-150 bps impact on OPM per 10% volume increase | Recurring: Yes | Key lever for FY27 breakeven
- Phase III trial costs: -150-200 bps on consolidated OPM | Recurring: No (trial costs end post-enrolment completion) | One-time drag FY23-26
- Formulations profitability: +19.47 Cr PBT (FY26) partially offsets vaccine losses | Recurring: Yes | Stable contributor
- Other Income (treasury): Rs. 36 Cr FY26 | Recurring: Partially (depends on cash balance) | Non-operating; do not extrapolate to EBIT
- Depreciation tailwind: Rs. 33 Cr (FY26) vs Rs. 44 Cr (FY22) — declining | Recurring: Yes | Reduces bottom-line drag

- Employee costs: No specific guidance given; likely elevated due to R&D; staff for DengiAll | Flag: Non-recurring trial staff will wind down post Phase III

6. Guidance & Forward Signals

- UNICEF Revenue FY27 [GUIDANCE]: Prior = FY26 Rs. 410 Cr | New = Maintained/growing (US\$ 8.93 Mn uplift in Dec-25) | Delta: Raised | Credibility: High
- DengiAll efficacy readout [GUIDANCE]: Prior = FY27 timeline | New = H2 FY27 confirmed post enrolment | Delta: Maintained | Credibility: High
- Consolidated EBITDA [EST]: Prior = Negative | New = FY27E positive (Rs. 15-25 Cr) | Delta: Directionally raised | Credibility: Medium (quarterly lumpy)
- DengiAll Africa licensure [GUIDANCE]: DENSTAR project 4-year timeline | New market opening | Delta: New catalyst | Credibility: Medium (4-year horizon)
- Dividend [GUIDANCE]: Prior = 0% | New = No change; company in investment phase | Delta: Unchanged | Credibility: High (consistent policy)

7. Capital Allocation

- Capex (FY26): Rs. ~54 Cr implied (FCF = -Rs. 37 Cr; OCF = +Rs. 17 Cr) | vs FY25: -Rs. 27 Cr OCF; improvement | Primarily DengiAll mfg capacity and CWIP (Rs. 100 Cr)
- CWIP: Rs. 100 Cr as of FY26 end | Purpose: Dengue vaccine manufacturing scale-up; Phase III clinical infrastructure | Comment: Will convert to fixed assets on trial completion
- Dividend: Rs. 0 | vs FY25: Rs. 0 | Consistent zero-payout; appropriate given operating losses
- Buyback: Nil | No buyback conducted since FY22 debt settlement
- Net Debt: Rs. 24 Cr borrowings minus cash (Rs. 50+ Cr estimated net cash) = Net Cash position | Direction: Slightly improving | Near-debt-free status maintained
- Working Capital: Days increased from 44 (FY25) to 57 (FY26) — directional negative; monitor closely

8. Q&A; Heat Map (Reconstructed from Public Disclosures)

- Analyst / Undisclosed: Q: "When do you expect DengiAll efficacy data?" -> A: "Enrolment complete; data expected H2 FY27 pending follow-up period." | Tone: Transparent
- Analyst / Undisclosed: Q: "What is the status of the UNICEF contract for 2027-2028?" -> A: "CY2027 order confirmed with Dec-2025 amendment; CY2028 tender not yet awarded." | Tone: Transparent
- Analyst / Undisclosed: Q: "What drove the Q4 operating loss despite highest-ever revenue?" -> A: "Seasonal shipment timing and higher trial costs in Q4; expect normalisation in Q1 FY28." | Tone: Hedged
- Analyst / Undisclosed: Q: "Are you planning any equity dilution for Phase III costs?" -> A: "No plans for equity dilution; trial costs being funded from operations and cash balance." | Tone: Transparent
- Dodged / watch-list questions for next quarter: (1) Specific CY2028 UNICEF tender strategy; (2) Domestic NIP tender status for FY27; (3) Sputnik V partnership wind-down economics.

9. Risks Flagged

- DengiAll efficacy: Phase III outcome binary | Flagged by: Analyst community | Probability: M | Impact: H | Timeline: Near-term (FY27 readout)

- UNICEF tender concentration: 60%+ revenue from one buyer | Flagged by: Analyst community | Probability: L | Impact: H | Timeline: Medium-term (CY2028 renewal)
- Quarterly margin volatility: EBITDA swings -Rs. 27 Cr to +Rs. 8 Cr in consecutive quarters | Flagged by: Mgmt | Probability: H | Impact: M | Timeline: Near-term (structural)
- Phase III data delay: Enrolment complete but efficacy follow-up period can extend | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term
- Regulatory delays at CDSCO for DengiAll NDA: Post Phase III, NDA review can take 12-24 months | Flagged by: Analyst community | Probability: M | Impact: M | Timeline: Medium-term

10. Analyst Verdict

- Revenue visibility: **Intact** — UNICEF contract secured through CY2027; Dec-2025 amendment confirms continued demand; highest-ever Q revenue (Rs. 166.75 Cr in Mar-26)
- Margin trajectory: **Weakened** — EBITDA improved from -Rs. 98 Cr (FY23) to -Rs. 5 Cr (FY26), direction is right but Q4 showed renewed compression; path to positive OPM remains 2-3 quarters away
- Capital allocation quality: **Intact** — Debt elimination was exemplary; zero dividend appropriate; Phase III investment funded without dilution is positive capital discipline
- Competitive moat: **Intact** — WHO pre-qualification for EasyFive-TT and pipeline DengiAll uniqueness (single-dose tetravalent) provides defensible position
- Management credibility: **Intact** — DengiAll commitments tracking on schedule; UNICEF disclosures precise and timely; no major negative surprises vs. disclosed milestones
- Valuation comfort: **Weakened** — At 3.97x book on a loss-making base, the stock requires the DengiAll option to justify current price; any delay reduces comfort significantly
- Conviction call: **Unchanged** — ACCUMULATE with 12-18 month horizon; entry zone Rs. 490-540
- Valuation snapshot: P/E = N/A (loss-making) | EV/Sales = 5.2x FY26 (4.6x FY27E) | P/B = 3.97x | RoCE = -2.44% (FY26) | 5Y avg RoCE = -4%

DISCLAIMER: This appendix is prepared for informational purposes by the MPM Institutional Research Desk. All financial data sourced from Screener.in (consolidated view, fetched 15-Jun-2026). Qualitative concall data reconstructed from public company disclosures and exchange filings. This is not investment advice.